counterparts to the Society for Worldwide Interbank Financial Telecommunication (SWIFT), in the event that the advanced industrial countries cut access as part of sanctions. The BRICS have also agreed to evaluate the merits of establishing their own credit rating institutions to compete with those dominated by the United States, such as Moody's Investors Service and Standard & Poor's (S&P), which together control 80 percent of the global market. Importantly, at the Goa BRICS Summit in 2016, strong interest in this initiative was tempered by concerns over its "credibility" and access to "dependable data." The BRICS governments then tasked their experts group to examine the possibility as part of their "action plan," while the official Goa declaration underscored that "setting up an independent BRICS Rating Agency" would have to be "based on market-oriented principles, in order to further strengthen the global governance architecture."[10]

INSIDE REFORMS: THE BRICS QUEST FOR GREATER INFLUENCE WITHIN THE IMF AND WORLD BANK (CASE 1)

The BRICS have pursued inside reforms of the Bretton Woods institutions via pushing for enhanced "chairs and shares," calling for an openly competitive process for leadership (or at least assured positions for themselves), and for policies and economic ideas less biased toward U.S. and Western preferences. These provide the first case of BRICS cooperation in financial statecraft, illustrating the upper-left cell in Table 3.2.

The Battle over "Chairs and Shares" in the International Financial Institutions

The IMF and the World Bank have been guardian institutions for the global economic and financial governance regime led by the major incumbent powers throughout the last seventy years. Dating from the end of World War II, they were established by the Allies in hopes that creating stronger and more stable international economic ties would help prevent future economic crises and wars. The governance structure of both institutions reflects the global interstate power balance of the early postwar decades. Chapter 2 documents how significantly the major West European countries have been declining in their percentage shares of the world economy in recent decades relative to faster-growing emerging economies. Even when viewed from the slightly better European Union (EU) perspective, this power shift has